RED FLAG REPORT · PRELIMINARY FINANCIAL DUE DILIGENCE

TAP Air Portugal

Published consolidated accounts FY23–FY25

Source: 2025 Integrated Report, pp. 152–156, notes 10 and 20

Preliminary: for an analyst to review. Not an opinion, not a view on price. Built with DD Assistant.

15 key issues; the largest is lease liabilities, €2,158m

#	Issue	Amount at stake	Deal implication (typical)	Evidence from the notes
1	Lease liabilities (net debt item)	€2,158m, FY25	Price: net debt	Explained by note 19 (p.207)
2	Deferred revenue and customer advances (to assess)	€711m, FY25	Further diligence	Open
3	R28 · Large 'other' working capital line	€631m, FY25	Price: working capital / peg	Open
4	R11 · Short-term debt concentration	€450m, FY23	Further diligence	Partly explained by note 19 (pp.206–207)
5	Provisions (to assess)	€415m, FY25	Further diligence	Explained by note 18 (pp.204–205)

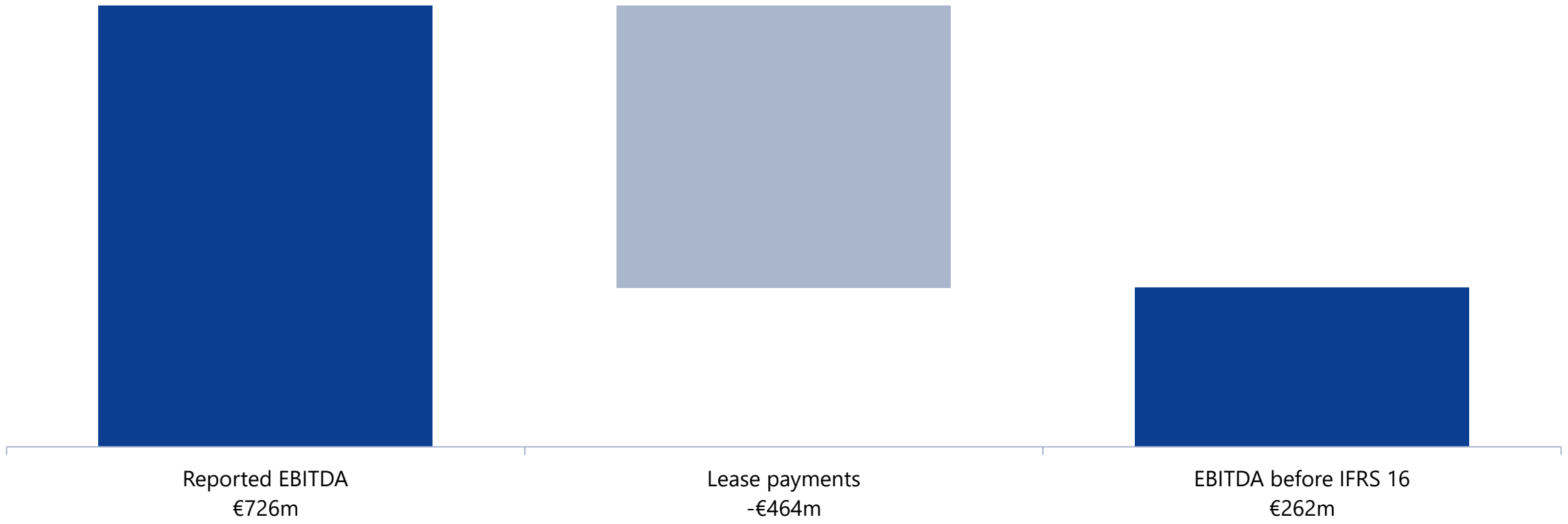
Ordered by amount at stake. Materiality: 5% of reported EBITDA for earnings items; 1% of revenue for balance sheet items (€36m and €43m). The implication is the typical treatment, for the deal team and its lawyers to decide.

Revenue grew 1.0% a year over the three years; EBITDA margin was 19.9% in FY23 and 17.0% in FY25

EUR m unless stated	FY23	FY24	FY25
Revenue	4,188	4,220	4,271
Reported EBITDA	832	807	726
EBITDA margin	19.9%	19.1%	17.0%
Cash conversion (operating cash / EBITDA)	121.8%	81.8%	76.6%
Adjusted net debt	2,629	2,536	2,293
Net working capital	−195	−366	−598

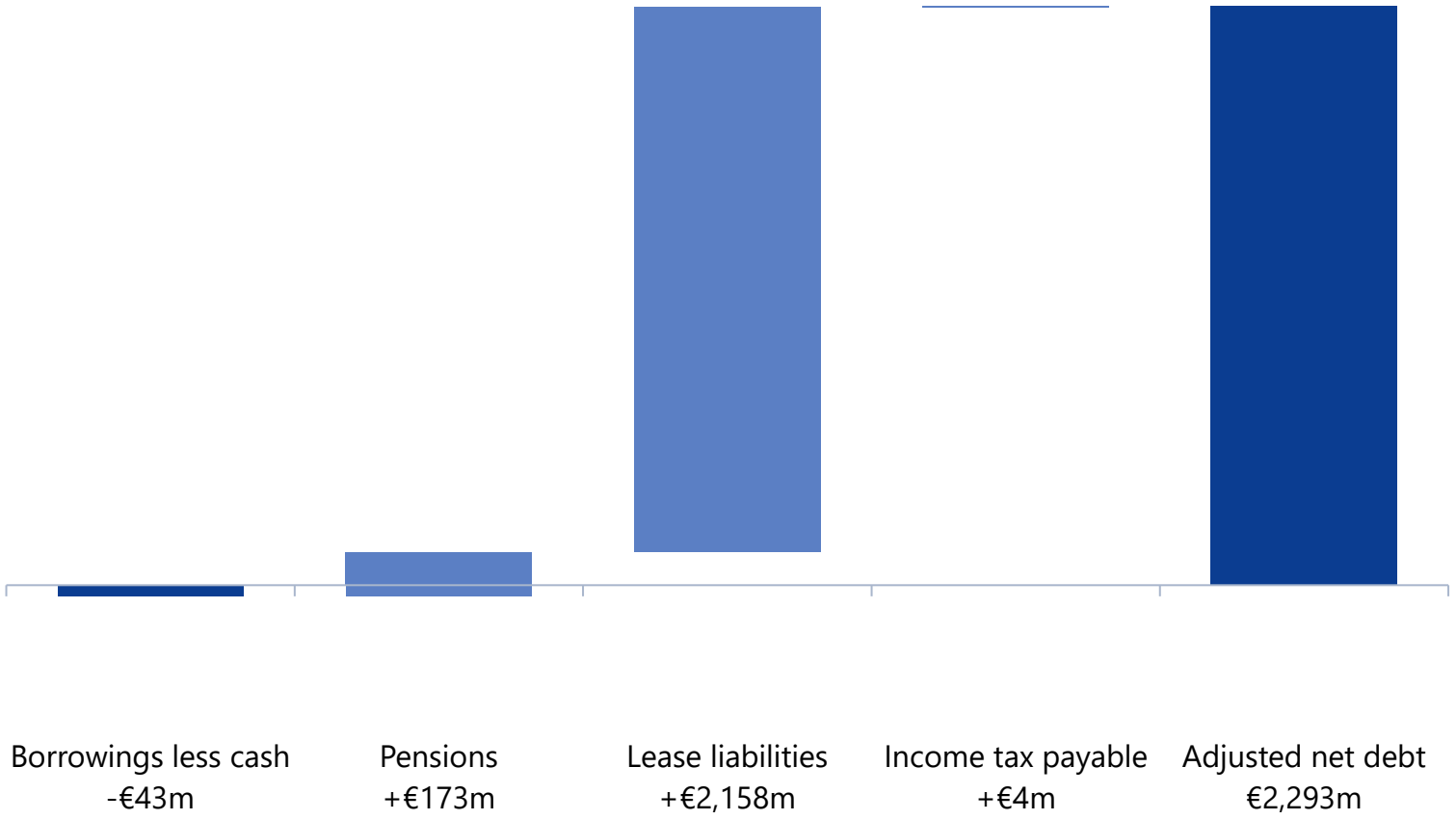
Reading checks: 3 of 3 published subtotals rebuilt from the lines read. Earlier years from the prior report; for the year both reports give, the latest comparative is used.

EBITDA is €726m in FY25; after lease payments it is €262m



FY25, EUR m. No diligence adjustment was identified from the accounts alone: adjustments need the ledger and the contracts.

Adjusted net debt is €2,293m (3.16x EBITDA), against borrowings less cash of -€43m



To assess (not in adjusted net debt)

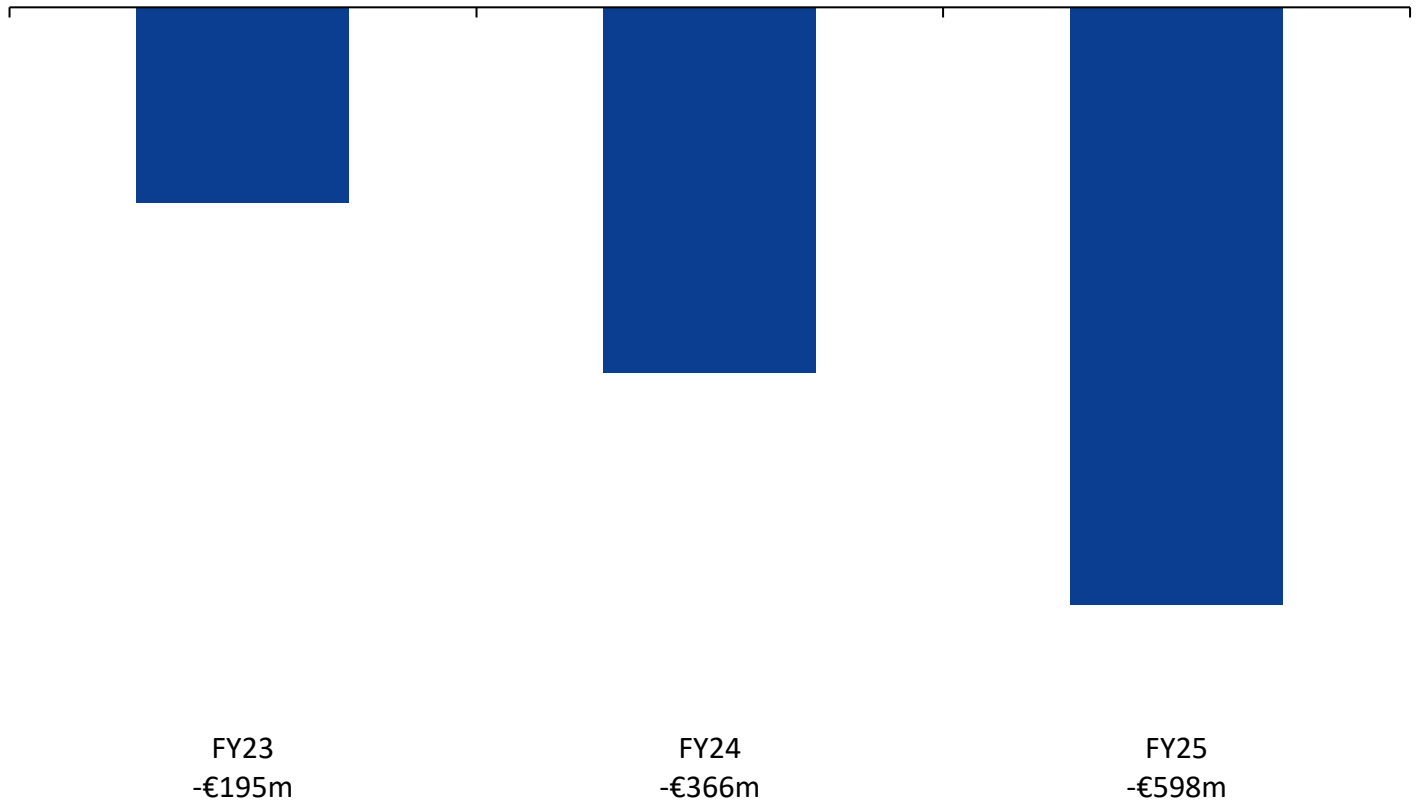
Deferred revenue and customer advances: €711m

Provisions: €415m (explained by note 18 (pp.204–205))

Assets held for sale: €29m

Other financial assets: €14m

Net working capital is -€598m, -14.0% of revenue; €211m below the average of the year-ends



What is inside, FY25

Inventories: €122m

Trade receivables: €372m

Trade payables: -€200m

Trade working capital: €294m

Other current assets: €450m

Other current liabilities: -€1,727m

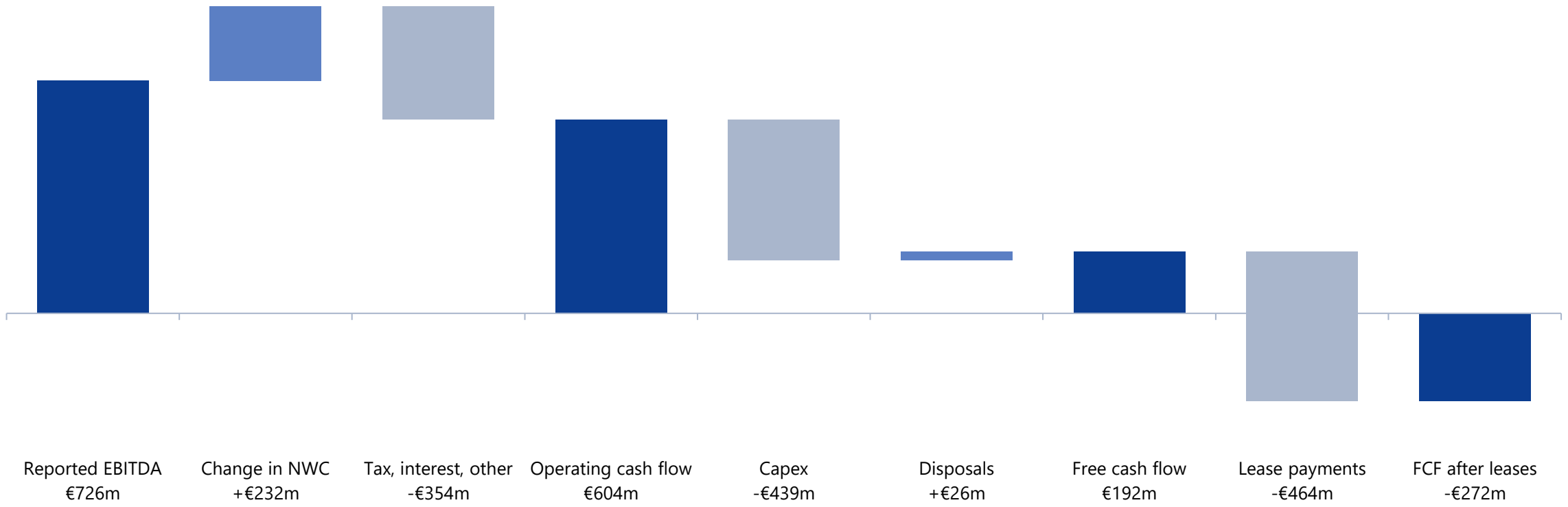
Excluded: Lease liabilities with purchase option (in net debt): €117m

Excluded: Lease liabilities without purchase option (in net debt): €265m

Excluded: Income tax payable (in net debt): €4m

Year-end balances only. A peg is negotiated on 12 to 24 monthly balances.

Of EBITDA of €726m, €192m became free cash flow in FY25



FY25, EUR m. The change in working capital comes from the two balance sheets; the remainder to the published operating cash flow is shown as its own bar.

10 priority requests: the level below what the public report already answers

#	Document or analysis to request	For
1	Lease register by asset with terms, options and return conditions	Lease liabilities
2	Schedule of deferred revenue and customer advances with supporting agreements	Deferred revenue and customer advances
3	Breakdown of other current assets and liabilities (trial balance)	R28
4	Facility agreements	R11
5	Bank term sheets	R11
6	Covenant compliance certificates	R11, R22
7	Provision-by-provision file: nature, legal opinion, expected timing of the outflow	Provisions
8	Facility agreements of the lines named in the note	R22
9	Schedule of post-employment benefit obligations with supporting agreements	Post-employment benefit obligations
10	Capex plan (maintenance vs growth)	R24

Scope, sources and limits

Scope and sources

Consolidated accounts FY23–FY25: 2025 Integrated Report, pp. 152–156, notes 10 and 20.

Framework: IFRS as adopted by the EU (consolidated accounts; SNC is for individual accounts).

Sector: Transport & logistics. Purpose: preliminary buy-side review.

Notes to the accounts read: yes (TAP_2025_notes.xlsx).

Reading checks: 3 of 3 passed.

Limits

Annual accounts only: no monthly figures, LTM or budget.

Euros only; financial due diligence only (no legal, tax, commercial or IT review).

A first pass for an analyst to review: no investment recommendation and no view on price.

Figures are computed by deterministic code from the published lines; each traces to its source cell.

Deal implications are typical treatments, for the deal team and its lawyers to decide.